

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-09

TZ SSE Buyer, LLC, Complainant v. COSCO Shipping Lines Co., LTD, Respondent

**COMPLAINANT’S RESPONSE IN OPPOSITION TO RESPONDENT’S MOTION FOR
PARTIAL SUMMARY JUDGMENT**

Complainant TZ SSE Buyer, LLC (“TZ SSE Buyer”), by its attorneys Clark Hill PLC, and pursuant to 46 CFR § 502.70(b), submits this response in opposition to the Motion for Partial Summary Judgment (the “Motion” or “Mot.”) filed by Respondent COSCO Shipping Lines Co., Ltd. (“Respondent”), and in support states as follows:

INTRODUCTION

Respondent has moved for partial summary judgment on the basis that the Federal Maritime Commission (“FMC” or “Commission”) lacks jurisdiction over certain shipments that were discharged at ports in Canada before continuing to the United States. Respondent’s motion is based on a fundamental misinterpretation of the Shipping Act, misapplication of case law, and an incorrect reading of the regulatory framework governing detention and demurrage charges. Because the shipments at issue were transported under a through bill of lading to a final destination in the United States, they remain within the Commission’s jurisdiction, and Respondent’s motion should be denied. Additionally, Respondent’s contractual obligations did not end at the Canadian port. Under the governing bills of lading, Respondent was contractually required to transport the relevant containers to storage yards in the United States.

FACTUAL BACKGROUND

The relevant facts are set forth in Respondent's Statement of Undisputed Material Facts, which Complainant addresses separately in its Response to Respondent's Statement of Undisputed Material Facts. See Complainant's Responses to Respondent's Statement of Undisputed Material Facts ¶¶ 1–7, concurrently filed with Complainant's Response.

This case arises from Respondent's unlawful assessment of demurrage, detention, per diem, and other accessorial charges on shipments that were transported under through bills of lading to final destinations in the United States. See *id.* ¶¶ 2, 4. Although some shipments were discharged at ports in Canada before being transported to the United States by rail or truck, Respondent's contractual obligations did not end at the Canadian port. See *id.* ¶¶ 6–7 (citing Exhibit 2–3). Under the terms of the governing bills of lading, Respondent was responsible for transporting these containers to storage yards in the United States. See *id.* The geographic location of discharge does not alter the fact that these shipments remained within the Commission's jurisdiction as part of an unbroken through transportation arrangement.

Respondent attempts to justify its motion by citing instances where other complainants voluntarily withdrew claims related to shipments transiting Canada. (Mot., p. 2.) However, the fact that other parties chose to drop similar claims has no bearing on whether Respondent's legal argument is correct. Here, the shipments at issue were always intended for delivery in the United States, moved under through bills of lading, and are therefore subject to FMC jurisdiction. See Complainant's Responses to Respondent's Statement of Undisputed Material Facts ¶¶ 6–7 (citing Exhibit 2–3). For these reasons, Respondent's attempt to evade liability by focusing on the location of discharge rather than the full scope of its transportation obligations is legally and factually flawed.

LEGAL STANDARD

Although the Commission's Rules of Practice and Procedure ("Rules") do not explicitly provide for motions for summary decision, Rule 12 of the Commission's Rules states that the Federal Rules of Civil Procedure ("Federal Rules") will be followed in instances that are not covered by the Commission's Rules, to the extent that application of the Federal Rules is consistent with sound administrative practice. 46 C.F.R. § 502.12. *Intermodal Motor Carriers Conference, American Trucking Associations, Inc. v. OCEMA, et al.*, FMC Docket No. 20-14, 2023 WL 1963455, at *11 (ALJ Initial Decision, Feb. 6, 2023).

Pursuant to Federal Rule 56, a party is entitled to the entry of summary judgment if "there is no genuine dispute as to any material fact and [the moving party] is entitled to judgment as a matter of law." Fed. R. Civ. P. 56(a); *Tucker v. Johnson*, 211 F. Supp. 3d 95, 99 (D.D.C. 2016). In reviewing a motion for summary judgment, the inferences to be drawn from the underlying facts must be viewed in the light most favorable to the nonmoving party. *Intermodal Motor Carriers Conference*, 2023 WL 1963455 at *12.

The Commission has emphasized that at the summary judgment stage, the role of the judge "... is not himself to weigh the evidence and determine the truth of the matter but to determine whether there is a genuine issue for trial." *EuroUSA Shipping, Inc., Tober Group, Inc., and Container Innovations, Inc.*, Docket No. 06-06, 31 S.R.R. 540, 545 (FMC Dec. 18, 2008) (citations omitted). Even if summary judgment is technically proper, sound judicial policy and the proper exercise of judicial discretion permit denial of such a motion for the case to be developed fully at trial. *Intermodal Motor Carriers Conference*, 2023 WL 1963455 at *12; *Roberts v. Browning*, 610 F.2d 528, 536 (8th Cir. 1979); *In re Korean Air Lines Disaster*, 597 F. Supp. 613, 618 (D.D.C. 1984).

I. Burden of Proof.

Respondent correctly acknowledges that, as the movant, it bears the burden of proof on this Motion. (Mot., p. 3); *see also Intermodal Motor Carriers Conference*, 2023 WL 1963455 at *12; *EuroUSA Shipping, Inc., Tober Group, Inc., and Container Innovations, Inc.*, Docket No. 06-06, 31 S.R.R. 540, 545, 2008 WL 7149852, at 4–5 (FMC Dec. 18, 2008).

However, Respondent misstates the burden by arguing that Complainant must affirmatively prove FMC jurisdiction over the Canadian Shipments. (Mot., p. 3.) In support of this claim, Respondent cites *Marine Transport Logistics*, but that case involved the Presiding Officer analyzing the standard for a motion to dismiss under Fed. R. Civ. P. 12(b)(1) and (6), not a motion for summary judgment. *Marine Transport Logistics, Inc. v. CMA-CGM (America) LLC*, FMC Docket No. 18-07, 2019 WL 5206007, at *2 (ALJ Order, Oct. 8, 2019).

Contrary to Respondent’s argument, the burden on the non-moving party at this stage is not a heavy one; the nonmoving party does not have to prove its case to the same standard that it would at trial or hearing. *See* 10A Wright, Miller & Kane, Federal Practice and Procedure § 2727, p. 490 (3d ed. 1998); *EuroUSA Shipping, Inc.*, 2008 WL 7149852 at *4.

It remains Respondent’s burden to affirmatively demonstrate that there is no genuine issue of material fact and that it is entitled to judgment as a matter of law. *See Intermodal Motor Carriers Conference*, 2023 WL 1963455 at *12; *EuroUSA Shipping, Inc.*, 2008 WL 7149852 at 4; *Celotex Corp. v. Catrett*, 477 U.S. 317, 323 (1986).

ARGUMENT

I. The Commission’s Jurisdiction Extends to Shipments Under a Through Bill of Lading to the United States.

The Commission has confirmed that its jurisdiction extends beyond the immediate port of discharge to include inland portions of through shipments, including overland transport segments

governed by a through bill of lading. Here, Respondent's contractual obligations did not cease upon discharge at the Canadian port. Under the governing bills of lading, Respondent was contractually responsible for ensuring the transportation of the relevant containers to storage yards in the United States. See Complainant's Responses to Respondent's Statement of Undisputed Material Facts ¶¶ 6–7 (citing Exhibit 2–3). This further confirms that the shipments remained within the scope of the Commission's jurisdiction.

In *Mitsui O.S.K. Lines Ltd. v. Global Link Logistics, Inc.*, the Commission rejected an argument that it lacked jurisdiction over inland portions of through transportation. See Docket No. 09-01, 2011 WL 7144008, at *5–8 (FMC Aug. 1, 2011). The Commission emphasized that when cargo moves under a single through bill of lading covering both ocean and inland transportation, FMC jurisdiction extends throughout the entire transportation chain. See *id.* at *5–8. This remains true regardless of whether a shipment transits a foreign intermediary port before reaching the United States. See *id.* (citing *Pacific Westbound Conference*, 22 S.R.R. 1290, 1296 (ALJ 1984, Admin. Final 1984)). The Commission in *Mitsui* affirmed that the Shipping Act grants jurisdiction over through transportation between the United States and foreign points and ports, explaining:

Clearly, the Commission now has jurisdiction over transportation from port or point of receipt to port or point of destination if the common carrier utilizes a vessel operating on the high seas for all or part of that transportation and if the common carrier assumes responsibility for transportation between those ports or points.

Mitsui O.S.K. Lines Ltd., 2011 WL 7144008 at *6 (citing *Pacific Westbound Conference*, 22 S.R.R. 1290, 1296 (ALJ 1984, Admin. Final 1984)).

This directly contradicts Respondent's claim that the FMC lacks jurisdiction merely because the shipments were first discharged at a port in Canada.

The Commission's conclusion in *Mitsui* was guided by Supreme Court precedent, particularly *Kawasaki Kisen Kaisha Ltd. v. Regal-Beloit Corp.*, in which the Court rejected attempts to divide a through bill of lading into separate ocean and inland segments subject to different regulatory regimes. 130 S. Ct. 2433, 2446–48 (2010).

Similarly, in *Intermodal Motor Carriers Conference v. OCEMA*, the Commission reaffirmed that its jurisdiction depends on the nature of the transportation service, not the physical location where the alleged violation occurs. See FMC Docket No. 20-14, 2024 WL 641501, at 13 (Feb. 13, 2024). There, the Commission rejected attempts to limit its oversight to activities occurring strictly at a U.S. port, confirming that inland cargo movement—when tied to ocean transportation—falls within the Commission's jurisdiction. See *id.* at 13, fn. 19.

Respondent's assertion that the Commission lacks jurisdiction because the shipments were “discharged” in Canada is legally incorrect. The key inquiry is not where a shipment is physically unloaded, but whether the conduct at issue is tied to ocean transportation services within the United States. See *id.* at 13, fn. 19.

TZ SSE Buyer maintains that most, if not all, of the charges related to the Canadian shipments were assessed by Respondent in the United States, not Canada. Respondent was contractually obligated to deliver the containers to locations in the United States, and the demurrage, detention, per diem, and other accessorial charges at issue were assessed after the containers arrived in the United States. See Complainant's Responses to Respondent's Statement of Undisputed Material Facts ¶¶ 6–7 (citing Exhibit 2–3).

At a minimum, TZ SSE Buyer is entitled to discovery on this issue, including production of invoices and email communications related to these shipments. This evidence will clarify

where and how the charges were imposed and should be fully addressed by the Presiding Officer once the record is developed and briefing is complete.

II. Respondent Mischaracterizes 46 U.S.C. § 40102(7), Which Merely Defines “Common Carrier” and Does Not Limit the Commission’s Jurisdiction Over Through Shipments to the United States.

Respondent relies on 46 U.S.C. § 40102(7) to argue that the Commission’s jurisdiction is limited to shipments moving “by water between a port in the United States and a port in a foreign country.” (Mot., pp. 1, 4, 10.) But this provision merely defines the term “common carrier” under the Shipping Act—it does not impose any independent jurisdictional limitation on the Commission’s authority over the conduct of such carriers.

Moreover, Respondent has admitted that it is a common carrier within the meaning of § 40102(7), and that the Commission has personal jurisdiction over it. *See* FMC Docket No. 24-09, Doc. No. 27, Verified Answer ¶10; *see also* Federal Maritime Commission, Vessel-Operating Common Carriers (VOCCs) List. Having conceded this threshold status, Respondent cannot now challenge the Commission’s jurisdiction by relying on a statute that governs only whether an entity falls within the class of regulated common carriers under the Shipping Act.

The primary case Respondent cites in support of its argument—*Austasia Intermodal Lines Ltd. v. FMC*, 580 F.2d 642 (D.C. Cir. 1978)—likewise addresses whether an entity qualifies as a common carrier under the Shipping Act. That issue is irrelevant here, given Respondent’s own admissions.

Because Respondent acknowledges that it is an ocean common carrier, its jurisdictional argument fails. The Commission therefore has jurisdiction over both Respondent and the claims asserted in the Verified Second Amended Complaint, including 46 U.S.C. § 41102(c), which requires common carriers to establish, observe, and enforce just and reasonable regulations and

practices in connection with receiving, handling, storing, or delivering property, and 46 U.S.C. § 41104(a)(10), which authorizes the Commission to determine whether a carrier unreasonably refuses to deal or negotiate.

Furthermore, Respondent's obligations under the through bills of lading extended beyond the initial port of discharge and required delivery to inland locations in the United States. *See* Complainant's Responses to Respondent's Statement of Undisputed Material Facts ¶¶ 6–7 (citing Exhibit 2–3). Because Respondent retained responsibility for transportation beyond the Canadian port, it cannot evade the Commission's jurisdiction by focusing solely on where the cargo was unloaded.

As discussed above, the Commission's jurisdiction is not limited to shipments that terminate at U.S. ports; it extends to multimodal transport that impacts U.S. trade, including inland movement under a through bill of lading. *See Mitsui O.S.K. Lines Ltd.*, 2011 WL 7144008 at *5–8. The fact that a shipment transited through a foreign port before reaching its U.S. destination does not strip the Commission of jurisdiction when the shipment remains subject to a through bill of lading.

Respondent's attempt to sidestep jurisdiction contradicts both its admissions and the plain language of the Shipping Act and should be rejected as a matter of law.

III. Respondent's Cited Cases Are Inapplicable.

Respondent's reliance on *Austasia Intermodal Lines Ltd.*, *Transpacific Westbound Rate Agreement*, *Color Brands, LLC*, and *CMI Distribution, Inc.* is misplaced.

Austasia involved cargo that originated in the United States, was transported overland to Canada, and then shipped overseas. *Austasia Intermodal Lines Ltd.*, 580 F.2d at 643–44. The decision turned on whether the carrier was a common carrier under the Shipping Act, not on

FMC jurisdiction over through bills of lading. *See id.* at 644–47. These distinctions make *Austasia* inapplicable. Here, Respondent has already conceded that it is an ocean common carrier and that the Commission has jurisdiction over it. Moreover, unlike *Austasia*, the shipments at issue originated internationally and moved under a through bill of lading to the United States.

Transpacific Westbound Rate Agreement v. FMC involved the Ninth Circuit’s review of the Commission’s decision to decline jurisdiction over portions of shipping agreements that governed *wholly foreign transportation* with no connection to U.S. trade. 951 F.2d 950, 951, 953 (9th Cir. 1991). The Ninth Circuit affirmed the Commission’s decision because the transactions at issue did not involve cargo moving to or from the United States. *See id.* at 953–54. The case also focused on whether a carrier qualified as a common carrier under the Shipping Act, not on the FMC’s jurisdiction over through bills of lading. *Id.* These distinctions make *Transpacific* inapplicable here. Unlike *Transpacific*, Respondent has already conceded that it is an ocean common carrier subject to FMC jurisdiction. Moreover, the shipments at issue in this case were always intended for delivery to the United States, further establishing a clear U.S. nexus under the Shipping Act.

Color Brands, LLC involved a dispute over cargo damage or loss, and cargo insurance premium obligations—not FMC jurisdiction over through bills of lading. *Color Brands, LLC v. Aaf Logistics, Inc.*, FMC Docket No. 22-18, 2024 WL 4034609 (ALJ Initial Decision on Remand, Aug. 27, 2024). The case also concerned shipments moving from U.S. ports to overseas destinations, such as Karachi, Pakistan, or Rotterdam, Netherlands. *See Color Brands, LLC*, FMC Docket No. 22-18, Doc. No. 1, ¶¶ 7–8, 10. Like *Austasia* and *Transpacific*, Respondent cites *Color Brands, LLC* solely for its discussion on whether the carrier qualified as a common carrier under the Shipping Act—an issue that is not in dispute here. Respondent has already

admitted that it is an ocean common carrier and that it is subject to FMC jurisdiction, making this argument irrelevant. Furthermore, unlike the shipments in *Color Brands, LLC*, which were exported from the United States, the shipments at issue here were always intended for import into the United States, placing them squarely within the Commission's jurisdiction.

CMI Distribution, Inc. involved claims against an NVOCC for failing to fulfill contractual obligations. *CMI Distribution, Inc. v. Service by Air, Inc., et al.*, FMC Docket No. 17-05, 2019 WL 4734318, at 1–2 (Initial Decision, May 24, 2019). The case is inapplicable here because it focused on whether an entity was operating as an NVOCC and thus subject to the Commission's jurisdiction. *Id.* at 9. In *CMI Distribution, Inc.*, the Presiding Officer applied 46 U.S.C. § 40102(6) to determine whether the entity functioned as an ocean freight forwarder or an NVOCC based on its use of vessel transportation between a U.S. port and a foreign port. *Id.* at 9–11. This analysis is irrelevant to the present case, which does not involve a dispute over NVOCC status or jurisdiction. Moreover, *CMI Distribution, Inc.* does not address shipments moving under a through bill of lading to a U.S. destination, further underscoring its inapplicability.

IV. 46 CFR 545.5 Supports FMC Jurisdiction.

46 CFR 545.5 is the Commission's interpretive rule guiding the application of 46 U.S.C. § 41102(c) in the context of demurrage and detention. Notably, 46 CFR 545.5(b) states that detention and demurrage charges apply to “marine terminal space (e.g., land) or shipping containers,” making clear that jurisdiction extends beyond the port boundary. This also contradicts Respondent's claim that the location of discharge determines FMC jurisdiction.

V. Conclusion.

COSCO's motion is premised on an incorrect interpretation of the Shipping Act, a misapplication of case law, and a misunderstanding of FMC jurisdiction. The Commission has long recognized its authority over through shipments to the United States, even when they transit third countries. The cargo in question was transported under through bills of lading to U.S. destinations, making it subject to FMC oversight.

For these reasons, TZ SSE Buyer, LLC respectfully requests that the Commission deny Respondent's Motion for Partial Summary Judgment in its entirety.

Dated: March 26, 2025

Respectfully submitted,

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CERTIFICATE OF SERVICE

I certify that on March 26, 2025, a true and correct copy of the foregoing document was served by email on all counsel of record in accordance with 46 CFR Part 502.

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